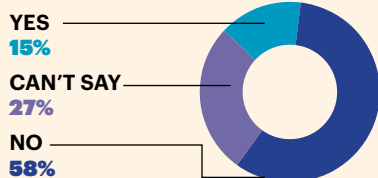
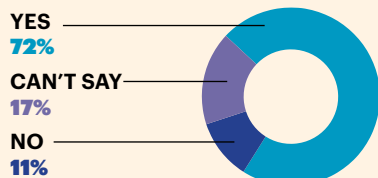


VOICE OF INDIA INC.

Do you expect an interest rate cut before April 2024?



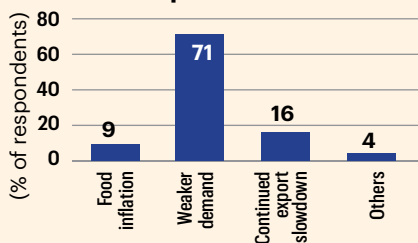
Will the upcoming General Elections impact government capex spending?



Are you worried about rural demand and consumption?



What is your top concern out of these for the quarter ahead?



SOURCE THE BT-C FORE BUSINESS CONFIDENCE SURVEY WAS CONDUCTED BETWEEN JANUARY 5 AND 20, 2024, OF 500 CEOs AND CFOs REPRESENTING VARIOUS INDUSTRIES AND COMPANY SIZES IN 12 CITIES—DELHI, MUMBAI, CHENNAI, HYDERABAD, BENGALURU, KOLKATA, CHANDIGARH, LUCKNOW, NAGPUR, KOCHI, VISAKHAPATNAM, AND BHUBANESWAR

ond half of the current fiscal year. “We have revised our growth projection for the fiscal to 6.5%, and expect a milder slowdown in the second half compared to our earlier estimate,” says Nayar.

The latest BCI reveals that business confidence has improved across all sectors. With a reading of 58.6, light industries that comprise businesses related to food products, beverages, textiles, wood, furniture, paper, publishing, and leather stand out as the most optimistic in the December quarter.

Besides, there has been an up-tick in confidence across business sizes, with big businesses being the most optimistic with a score of 60.2. Micro businesses, on the other hand, continue to face challenges, resulting in a more subdued sentiment at 52.3.

Madhavi Arora, Lead Economist at Emkay Global Financial Services, says business confidence is not just about the headline GDP numbers, but is a function of many things, such as the regulatory and policy environment, lower inflation, policy and political certainty, and the phase of the business cycle.

“The fourth quarter of the fiscal is on track. Growth is likely to be slower in the second half of the current fiscal compared to the first half. Companies may not enjoy the same kind of margins as they did in the first half. GDP growth in H2FY24 is likely to be about 6.5% and we expect full fiscal growth to be not more than 7% when the final print is released,” she notes.

Firms remain upbeat about Q4 of FY24 and have indicated further improvement in the overall economic situation, with a rating

of 5.6 out of 10 for the quarter, compared to 5.2 in the previous quarter. Demand conditions, profitability, and hiring are also seen to be better, but sentiments towards hiring remained relatively subdued, with a rating of 5.5 (see chart). According to Arora, hiring sentiments might be dampened with companies already having hired more than required in the past year, anticipating higher demand and movement of workers.

The picture is not all hunky-dory. Worries about rural demand and consumption plague 68% of the respondents of the survey, while 72% believe that the upcoming General Elections will have an impact on government capex spending. “The growth in demand and consumption is uneven, with high demand seen in some income groups in urban areas. Rural demand is muted as sentiments are cautious due to uneven monsoon rains and concerns related to rabi crop output. Commodity prices remain benign relative to year-ago levels, giving more confidence to manufacturers,” Nayar notes.

India Inc. also remains worried about weaker demand, with 71% of the respondents identifying it as their top concern; for 16%, a continued export slowdown was the chief worry. The spectre of price pressures also remains a worry and food inflation was the top concern for 9% of those surveyed.

The Interim Budget and finance ministry calculations indicate that the economy is on a much stronger footing, even though the General Elections may create some uncertainty. But it is clear that businesses now are more confident in dealing with them. **BT**

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